Half yes: anyone can copy a QR code. Nobody can easily copy the till.

WHAT PAYTM AND PHONEPE HOLD

The QR code

Easy to copy

≈9

QR codes on the average shop

The soundbox

Sticky

1.07 cr

Paytm shops kept paying through the 2024 shock

The till

Hard to beat

4.5%–5%

their losses: repaid from the shop's daily payout

OUR WAY IN

Our savings hook

Already copied

₹100/day

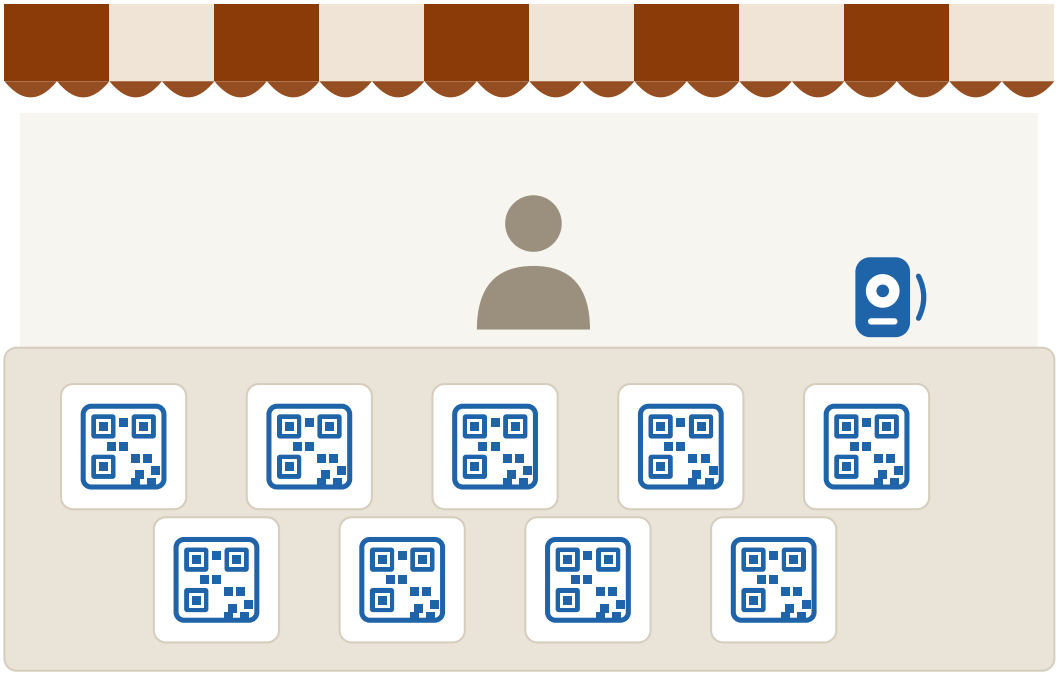
PhonePe deposit, launched 6 Aug 2026

easy to take → hard to take

We planned to make our money from lending, and lending is protected by the till, not by the QR.

Sources: QM-01, 02, 07, 22, 33

A QR code protects no one: shops already carry about nine.



≈9

QR codes per shop

56.9 crore codes ÷ 6.5 crore shops (FY25)

A newcomer did it: BharatPe

2018
0 shops

→

1.3 cr+
shops by 2025

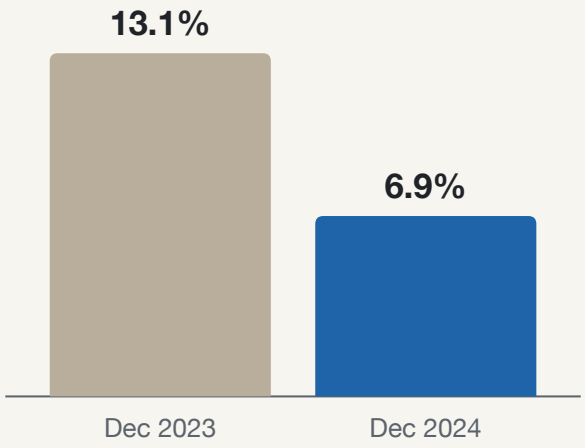
Getting onto the counter is easy. What a QR leads to is the real question.

Sources: QM-01, 02 (codes and shops, PIB); QM-03, 04 (BharatPe)

When Paytm was hit in 2024, customers left, shops stayed, and loans halved.

Customers

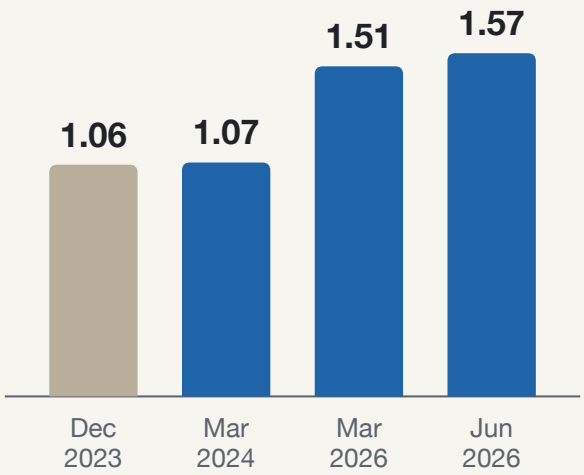
Paytm app's share of UPI payments



↓ Left

Shops

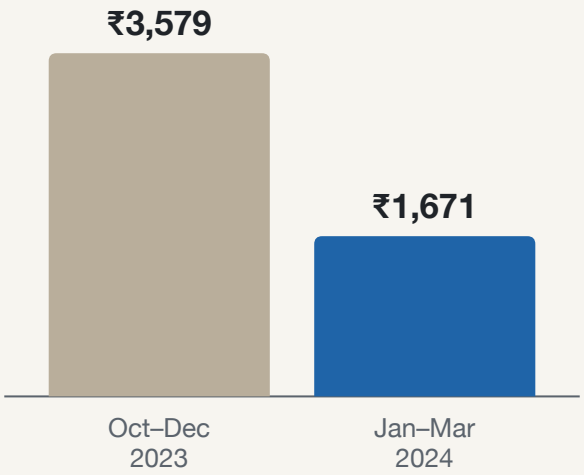
Shops paying for a Paytm device, crore



→ Stayed

Loans

Paytm shop loans, ₹ crore a quarter



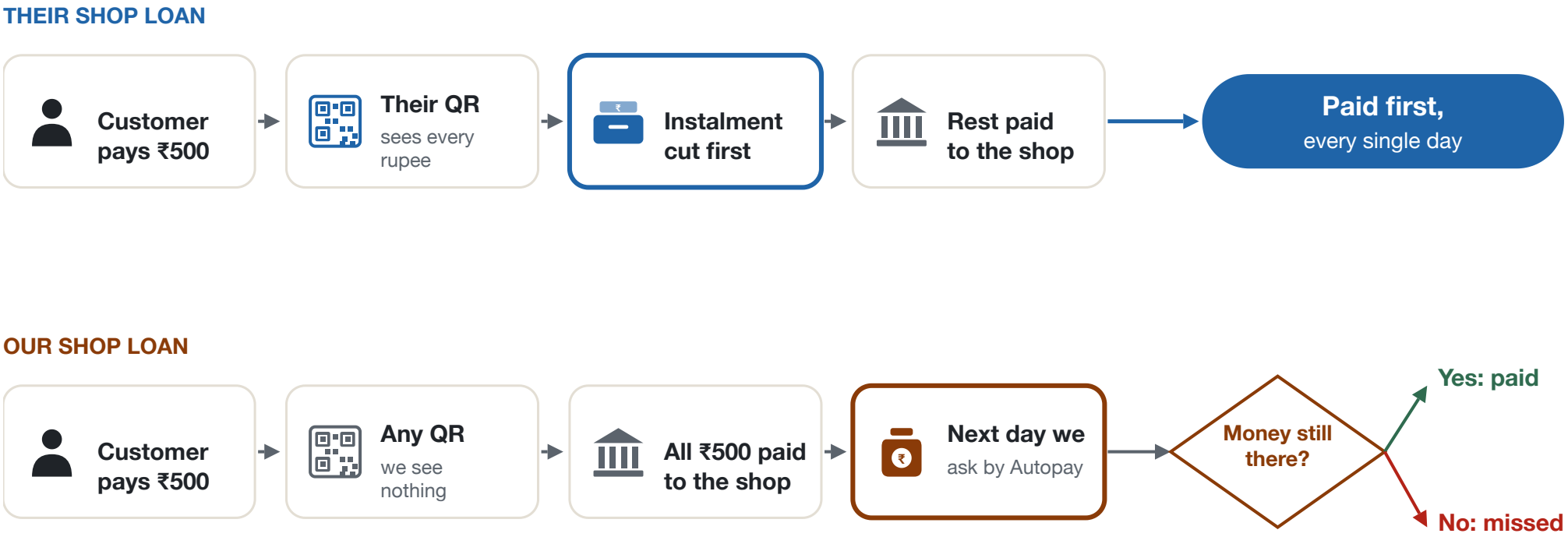
↓ Halved

before the RBI action (Jan 2024) after

The app is easy to leave. The box on the counter and the daily payout are not.

Sources: QM-06 to 09 (devices), QM-15, 16 (UPI share), QM-17, 18 (loans)

The real moat: Paytm and PhonePe get paid before the shop does.

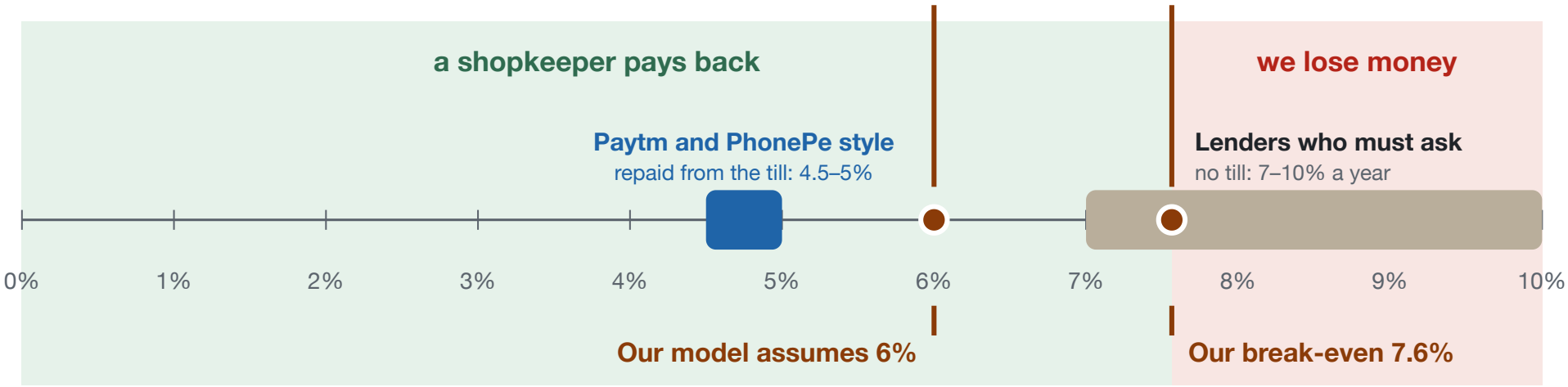


55%–90% of Autopay debits failed at big banks
Aug 2025, mostly for lack of money

We would always be paid after the shopkeeper, and only if money is left.

Sources: QM-19, 20 (repayment from daily payout), QM-26 (Autopay failures)

The till keeps their losses below our break-even.



Bad-loan losses a year, as a share of the money lent

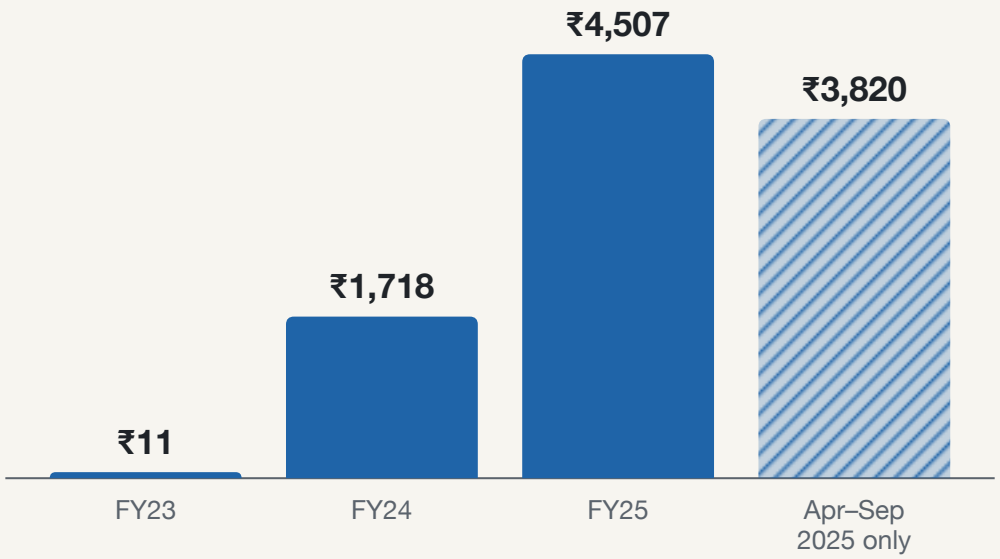
Without the till, we land where other lenders do: at or past our line.

Sources: QM-22 (Paytm-sourced loans), QM-40 (digital lenders); our line: deck model, tables/lend_breakeven.csv

They already lend to shops at scale, and they are copying savings.

Already lending

PhonePe shop loans given out, ₹ crore



Half a year of 2025 was 2.1× the same half a year earlier

Already copying savings

products aimed at our customer

2022
BharatPe sells deposits
to 80 lakh+ shops

Oct 2024
PhonePe daily gold
from ₹10 a day, with Jar

6 Aug 2026
PhonePe daily deposit
from ₹100 a day: our shape

Savings can open the door, but it is not an edge they cannot copy.

Sources: QM-27 to 30 (PhonePe loans), QM-33, 34 (PhonePe savings), QM-35 (BharatPe)

For shopkeepers, take-up and losses move the wrong way. Only the rate is safe.

Cost to win a shop

WE NEED

≤ ₹704

today ₹499

THEY SHOW

They spend up to ~₹5,000 per device

! Unknown

Savers who borrow

WE NEED

≥ 14%

today 20%

THEY SHOW

Their best shops already have loans

✕ Pushed down

Interest rate

WE NEED

≥ 24.4%

today 26%

THEY SHOW

Market prices run ~15% to 30%+

✓ Safe

Losses

WE NEED

≤ 7.6%

today 6%

THEY SHOW

They run 4.5%–5%; no-till lenders 7%–10%

✕ Main risk

The QR barely touches our numbers. Losses decide it.

Sources: QM-13, 22, 23, 39, 40; our lines: deck model, tables/lend_breakeven.csv

Bachatt does not beat the till. The shopkeeper opts in, and a partner holds the loss.

WHO BACHATT ACTUALLY GETS

3 million
signed up
since May 2025 · their claim

↓ about 3% keep a daily debit

1 lakh
still saving daily

our estimate
2 million fund purchases
÷ about 20 a month

↓

The partner books the loan
Up to ₹5 lakh. Bachatt does not.

! The 7–10% loss is not theirs

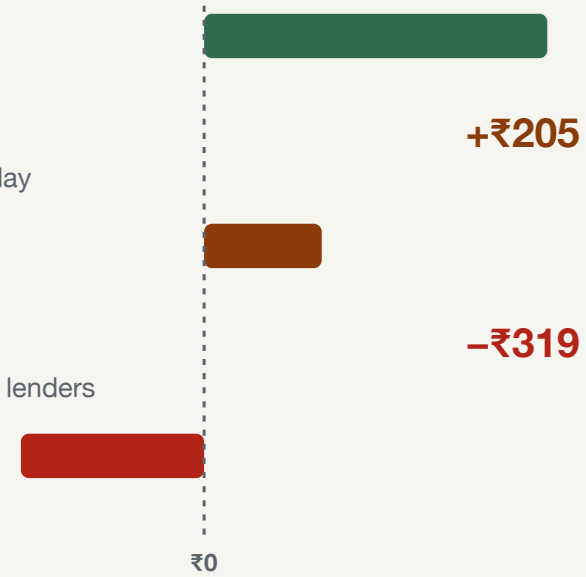
IF THAT SAVER BORROWS FROM US

One shopkeeper. Only the loss rate moves.

3% losses +₹597
the hope: savers really are safer

6% losses +₹205
what the model assumes today

10% losses –₹319
no till, and no safer than app lenders



Choosing to save picks who shows up. It does not, by itself, pick who repays. The +₹597 exists only if savers really are safer, which neither we nor Bachatt have shown.

Sources: QM-41 to 45 (Bachatt: users, February purchases, our 20-debit estimate, partner loan, funds raised); shopkeeper values: tables/lend_breakeven.csv, loss rate only; QM-40

Start where we are paid first, and let the pilot prove the rest.



THE PILOT MUST ANSWER

1. Do our savers already have their loan?
2. Will they share their bank statement?
3. Do Autopay loan instalments succeed?
4. Do they keep saving vs PhonePe ₹100/day?

The idea survives the moat only where we sit on the income, or see all of it.

Sources: QM-24, 25 (Account Aggregator), QM-33; salaried values: tables/lend_salaried.csv

SOURCES

Where every number comes from

QM-01	PIB (Ministry of Finance) 2025-03-31	earlier research
QM-02	PIB (Ministry of Finance) 2025-03-31	earlier research
QM-03	YourStory; BharatPe company history 2018	search summary only
QM-04	BharatPe (1.3 crore, 450+ cities); AngelOne on FY25 results (1.7 crore+) 2025	search summary only
QM-05	Department of Financial Services FAQ (15 Sep 2026); Business Today 2026-10-15	earlier research
QM-06	Inc42 on Paytm Q4 FY24 results 2023-12-31	opened: news report
QM-07	Inc42 on Paytm Q4 FY24 results; Business Standard 2024-03-31	opened: news report
QM-08	Paytm Earnings Release Q4 FY2026 2026-03-31	earlier research
QM-09	Paytm Earnings Release Q1 FY2027 2026-06-30	earlier research
QM-10	YourStory: fintech startups in the race for soundbox domination 2023-09	search summary only
QM-11	PhonePe DRHP via The Hans India 2025-09-30	earlier research
QM-12	PhonePe DRHP via The Hans India 2025-09-30	earlier research
QM-13	derived from Paytm Q1 FY27 release 2026-06-30	earlier research
QM-14	Inc42 (citing sources; NPCI did not comment) 2024	opened: news report
QM-15	Business Standard, NPCI data 2023-12-31	search summary only
QM-16	Business Standard, NPCI data 2024-12-31	search summary only
QM-17	Inc42 on Paytm Q4 FY24 results 2023-12-31	opened: news report
QM-18	Inc42 on Paytm Q4 FY24 results 2024-03-31	opened: news report
QM-19	PhonePe merchant help: How can a merchant repay a loan? 2026	search summary only
QM-20	YourStory (2020); loan-comparison sites 2020-2025	search summary only
QM-21	search summary of a loan-information site 2026	search summary only
QM-22	Paytm Earnings Release Q4 FY2026 2026-03-31	earlier research
QM-23	Paytm Earnings Release Q1 FY2027 2026-06-30	earlier research
QM-24	Sahamati data via Finahub (Aug 2026) 2026-03-31	search summary only
QM-25	Sahamati data via Finahub (Aug 2026) 2026-03-31	search summary only
QM-26	Mint (HT Syndication), NPCI data 2025-08	earlier research
QM-27	PhonePe DRHP via Business Today 2023-03-31	earlier research
QM-28	PhonePe DRHP via Business Today 2024-03-31	earlier research
QM-29	PhonePe DRHP via Business Today 2025-03-31	earlier research
QM-30	PhonePe DRHP via Business Today 2025-09-30	search summary only
QM-31	Inc42: BharatPe's merchant-first playbook brings FY25 turnaround 2025-08-11	opened: news report
QM-32	Medianama; Business Standard 2026-05-08	earlier research
QM-33	PhonePe press release 2026-08-06	opened: company/regulator
QM-34	PhonePe press release 2024-09-30	earlier research
QM-35	IBS Intelligence 2022	search summary only
QM-36	YourStory (Nov 2024) 2024-03-31	search summary only
QM-37	The Morning Context 2023-05-01	opened: news report
QM-38	TechCrunch 2023-10-18	search summary only
QM-39	Paisabazaar; loan-information sites 2026	search summary only
QM-40	CRISIL, CARE and ICRA rating notes 2026	earlier research
QM-41	Bachatt press release, Series A 2026-03-30	earlier research
QM-42	Bachatt press release, Series A 2026-02	earlier research
QM-43	note on XB-03 2026-10-02	earlier research
QM-44	Bachatt homepage; earlier rows XB-10 and XL-12 2026	earlier research
QM-45	Entrackr; Bachatt press release 2026-03-30	earlier research

"Search summary only" = seen in a search engine's summary, page not opened: treat as reported. Full claims for each id: QR_moat_test.pdf (sources page) and research/qr_moat.csv. Derived numbers: tables/qr_moat_numbers.csv.